Meridian Property Research

Independent residential market research

Parramatta Residential Rental Market

Market report, September quarter 2026

Coverage: Parramatta LGA and Westmead

Subscriber edition

Reference: MPR-WSYD-2026-Q3

Date: 8 September 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Key findings

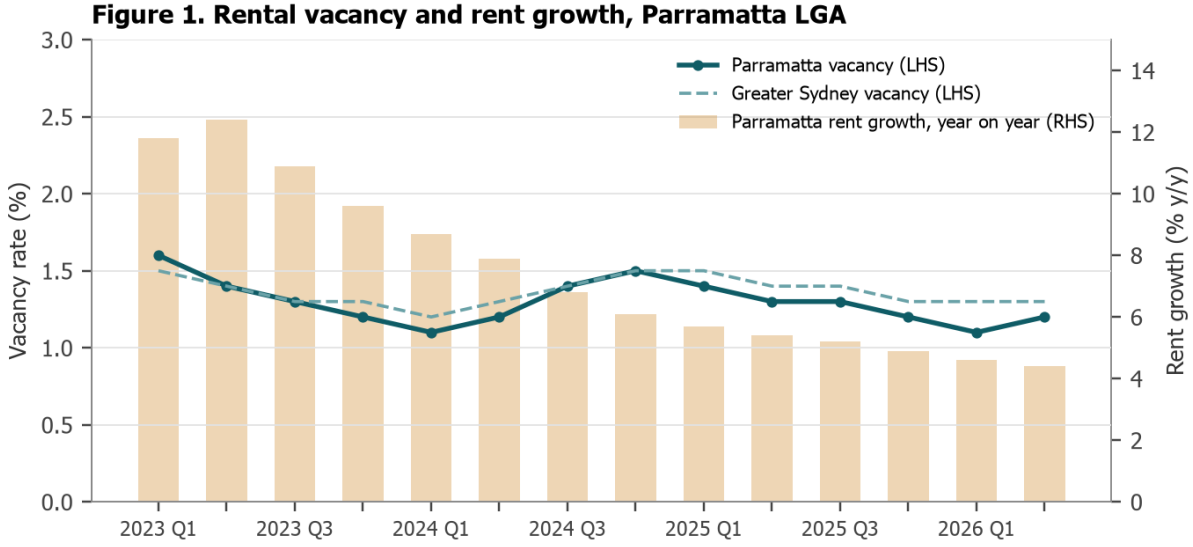
- Parramatta's residential vacancy rate was 1.2% in the June 2026 quarter, below the Greater Sydney average of 1.3% and well under the 3% level generally regarded as a balanced market.
- Rent growth has slowed from a peak of 12.4% in mid-2023 to 4.4% over the year to June 2026, as affordability constraints limit further increases.
- Apartment completions fell to a decade low of 1,050 in 2026. We forecast completions to recover to 1,640 in 2028, still below the 2022 level of 2,140.
- Build-to-rent projects account for 31% of the forecast pipeline, up from less than 10% in 2022.

1. Rental market conditions

Parramatta remains one of the tightest rental markets in Greater Sydney. Vacancy has stayed between 1.1% and 1.6% for the past three and a half years, reflecting strong population growth, a large student population and a shortage of new supply after the 2022 completion peak.

Rent growth has moderated as tenants reach the limits of affordability. The median weekly rent for a new two-bedroom apartment in the Parramatta CBD is now A$1,150, compared with approximately A$880 in early 2023. We expect rent growth to settle at 3% to 4% per annum over the next three years, in line with wages growth.

Figure 1. Rental vacancy and rent growth, Parramatta LGA



Source: Meridian Property Research rental listings panel; quarterly averages.

2. Demand drivers

Parramatta's population is growing at 2.1% per annum, twice the Greater Sydney rate, and employment in the CBD is growing at 2.6% per annum as government agencies and corporate tenants relocate to Parramatta Square and the surrounding office precinct.

Three infrastructure projects support long-term demand: Parramatta Light Rail Stage 1 (operational since late 2024), Sydney Metro West (due 2032) and the new Powerhouse Parramatta museum. Westmead health and education precinct, two kilometres west, employs more than 20,000 people and is a significant source of renters for one- and two-bedroom apartments.

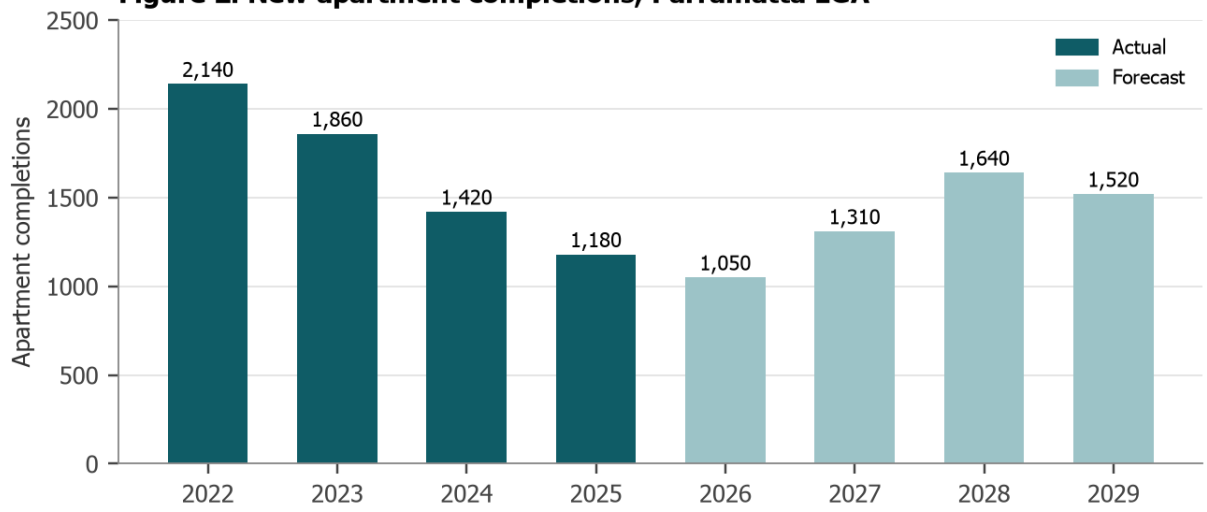
Indicator	Parramatta	Greater Sydney
Population growth (Parramatta LGA)	2.1% p.a.	1.0% p.a.
Employment growth (Parramatta CBD)	2.6% p.a.	1.4% p.a.
Renter households	58%	36%
Median age	33	37
Residential vacancy (June 2026)	1.2%	1.3%

Table 1. Demand indicators

3. Supply pipeline

Completions have fallen for four consecutive years as higher construction costs and interest rates made many approved projects unviable for sale to owner-occupiers and investors. Build-to-rent developers backed by institutional capital have filled part of the gap, and several large projects are now under construction.

Figure 2. New apartment completions, Parramatta LGA



Source: Meridian Property Research project database; forecasts include projects under construction and with approval.

We forecast completions of 1,310 in 2027, 1,640 in 2028 and 1,520 in 2029. Even at the 2028 peak, new supply would be lower than in 2022, when vacancy rose only briefly before falling again. We expect vacancy to rise modestly to 1.8% to 2.2% during 2028 as several build-to-rent buildings lease up at the same time, before tightening again in 2029.

Project	Street	Apartments	Status and completion	Tenure
Parkline (stabilised)	Hassall St	246	Completed 2025	BTR
Riverside Commons (stabilised)	Charles St	214	Completed 2025	BTR
Aster Parramatta	Macquarie St	318	Under construction, 2027	BTR
One Church Street	Church St	276	Under construction, 2028	Build-to-sell
The Foundry	Phillip St	402	Approved, 2028	BTR
Westmead Gardens	Hawkesbury Rd	188	Approved, 2029	Build-to-sell

Table 2. Selected projects in the pipeline

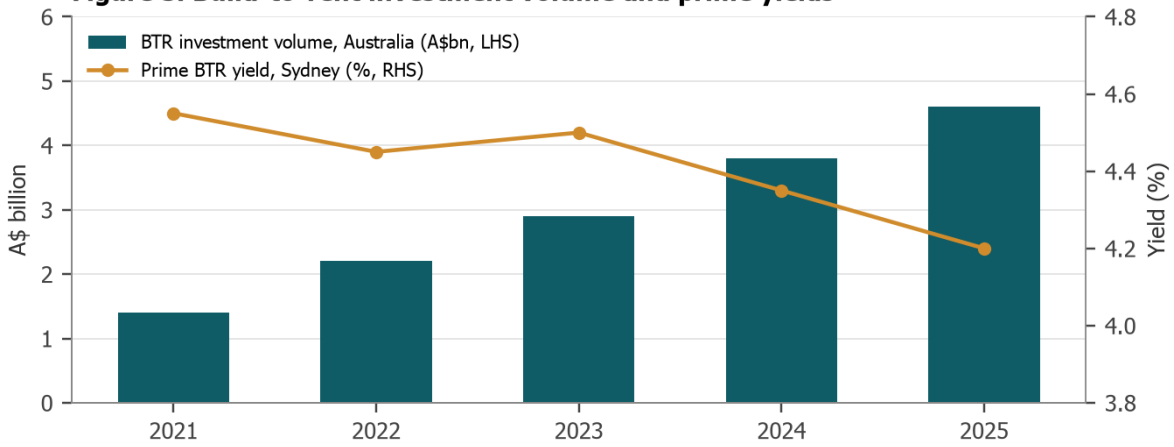
4. Build-to-rent rents and investment market

New build-to-rent buildings in Parramatta achieve a premium of 8% to 12% over the median rent for comparable new apartments, reflecting on-site management, resident amenities and longer lease terms. The premium has held up through the slowdown in rent growth, and incentives at stabilised buildings are limited to one or two weeks' free rent on 12-month leases.

Apartment type	BTR effective weekly rent range	Median new apartment rent	Rent growth, year to June 2026
1 bedroom	A$790 - A$895	A$820	4.1%
2 bedroom	A$1,120 - A$1,265	A$1,150	4.5%
3 bedroom	A$1,560 - A$1,790	A$1,590	4.7%

Table 3. Weekly rents for new apartments, Parramatta CBD

Figure 3. Build-to-rent investment volume and prime yields



Source: Meridian Property Research transactions database.

Investment in Australian build-to-rent reached A$4.6 billion in 2025, led by domestic superannuation funds and offshore pension capital. Transaction yields for prime metropolitan assets have firmed slightly to 4.05% to 4.40% as the sector has matured and the investor base has broadened. Western Sydney has attracted a growing share of capital, reflecting its population growth and lower land costs than the eastern suburbs.

5. Outlook

We expect Parramatta to remain undersupplied relative to population growth through to the end of the decade. Well-located, amenity-rich build-to-rent buildings close to transport should continue to achieve rents at or above the market median and lease up within six to nine months. The main risk is a short-term overlap of completions in 2028, which could lengthen lease-up periods and require incentives of two to four weeks' free rent.

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